

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think>

First you must determine the ending value of the house. To do this you must remember that the 150% increase applies to the initial value of 130000. To calculate the ending value of the house you must multiply \$80,000 by 1.50 which is equal to \$120,000.

Now that you know the ending value you must subtract the initial investment which was 80000 + 50000 = \$130,000

So your final calculation is \$120

1.0

0.5

0.0

-0.5

-1.0